CROWN PAINTS KENYA PLC.

CROWN PAINTS KENYA PLC AND SUBSIDIARIES
UNAUDITED HALF YEAR RESULTS FOR THE PERIOD ENDED 30TH JUNE 2017

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT

	30TH JUNE 2017 KShs'000	31ST DECEMBER 2016 KShs'000
ASSETS		
NON-CURRENT ASSETS	1,269,622	1,277,284
CURRENT ASSETS	2,627,735	3,781,745
TOTAL ASSETS	3,897,357	5,059,029
EQUITY AND LIABILITIES		
EQUITY		
Share Capital	355,905	355,905
Reserves	1,270,003	1,206,211
	1,625,908	1,562,116
NON-CURRENT LIABILITIES	256,935	246,703
CURRENT LIABILITIES	2,014,514	3,250,210
TOTAL LIABILITIES	2,271,449	3,496,913
TOTAL EQUITY AND LIABILITIES	3,897,357	5,059,029

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE PERIOD ENDED

	30-Jun-17 KShs'000	31-Dec-16 KShs'000	30-Jun-16 KShs'000
REVENUE	3,700,803	7,347,557	3,505,786
PROFIT BEFORE TAX	110,131	272,043	100,854
TAX EXPENSE	(49,669)	(140,247)	(60,980)
PROFIT FOR THE YEAR	60,462	131,796	39,874
Other comprehensive income	-	101,630	-
Total comprehensive income	60,462	233,426	39,874
Basic and diluted earnings per share	0.85	1.85	0.56
Number of shares issued	71,181	71,181	71,181

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE PERIOD ENDED

	30TH JUNE 2017 KShs'000	31ST DECEMBER 2016 KShs'000
Cashflows (used in)/generated from operations	(56,548)	874,495
Income tax paid	(55,814)	(327,658)
Interest received	-	1,728
Interest paid	(105,400)	(218,253)
Net cash (used in)/generated from operating activities	(217,762)	330,312
Net cash used in investing activities	(61,593)	(246,792)
Net cash (used in)/generated from financing activities	(20,200)	12,639
Net (decrease)/increase in cash and cash equivalents	(299,555)	96,159
Cash and cash equivalents at the beginning of the year	71,258	(52,372)
Effect of exchange rate changes on cash & cash equivalents	3,982	27,471
Cash and cash equivalents at the end of the year	(224,315)	71,258

NOTES TO INTERIM FINANCIAL STATEMENTS
The same accounting policies and methods of computation are followed in the interim statements as compared to the most recent annual financial statements.

BUSINESS COMMENTARY
- Group revenue has increased by 6% compared to the same period in 2016.
- Profit before tax increased by 9% compared to corresponding period of 2016.
- The cost of raw material has increased over the year and is expected to affect profitability for the year.

OUTLOOK
The Board has a positive outlook for second half of the year despite the slowdown in the economy in the second and third quarter's of the year as a result of the 2017 Kenya Elections. The Board anticipates that once the political climate settles, the Kenyan Economy will maintain a similar trend as that observed during the first quarter of the year. On the regional market, Rwanda, Uganda and Tanzania, business remains slow for the year but is anticipated to improve during the second half of the year.

DIVIDEND
The Board of Directors does not recommend payment of an interim dividend.

By Order of the Board
Conrad Nyukuri,
Company secretary
29th August 2017